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HOLDING COSTS

Gold comes with heavy holding costs. When we buy physical gold, there is a cost associated with the storage and insurance of the same. Besides, we continuously carry the risk of theft. All these put together comes down to about 1% of the gold's value per year i.e. cost incurred to hold the physical gold. So, gold becomes one of the worst-performing long term assets when we deduct the holding costs from the long term returns of gold, and. In the long run, it underperforms debt, equity, and even fixed deposits.

Despite the above statements, gold is not necessarily a terrible asset. After all, it is one of the most common asset classes in the country. We will understand the suitability of gold in the coming sections.

